

THE MARKET FOR POLITICAL ACCESS. EVIDENCE FROM NEW YORK STATE LOBBYING

MICHELE VALINOTI

NEW YORK UNIVERSITY

LOBBYING: THREE LENSES

► What is lobbying?

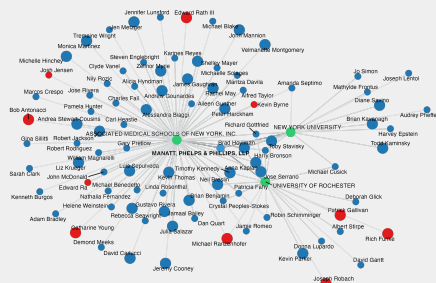
- Lobbying is an attempt to influence government decision-making.

► In the literature:

- **Rent-seeking:** competing for policy-created rents and transfers.
- **Information/signaling:** supplying expertise and credibility to shape beliefs.
- **Access market:** scarce legislative attention is rationed across competing interests, often via intermediaries.

► Access is typically unobserved: in New York State, lobbyists must disclose whenever they contact a public official on behalf of a client.

- Disclosures include contacts, bi-monthly expenditures, and policy areas involved.



Network of clients (left), lobbyists (middle), and legislators (right)
Period: 2019-2023

1M+ contacts

► Total contacts and expenditures

► Summary contacts by branch

► Summary contacts in the legislative branch

► Lawmakers: descriptive statistics

SOME TERMINOLOGY

► Two organizational forms

- **In-house lobbying (IH):** employees of the client; dedicated effort; organization-specific knowledge.
- **Commercial lobbying firms (CLFs):** external intermediary representing multiple clients; sells intermediation services and leverages relationships across a portfolio.
- *In this chapter:* CLFs have a better technology (relationship capital) and can deploy it over multiple clients.

► Tax-exempt institutions

- Around **10% of registered lobbying clients** are tax-exempt organizations.
- They primarily lobby over **budgetary appropriations and grants**.
- They are legally prohibited from making **campaign contributions**.

► Measures of relationships

- **PAC connection:** the individual lobbyist has personally contributed to the legislator's campaign. Bertrand et al. (2014)
- **RD connection:** the lobbyist previously worked on the legislator's payroll ("revolving door" tie). Blanes i Vidal et al. (2012)

IN THIS CHAPTER

1 Document three facts about the access market:

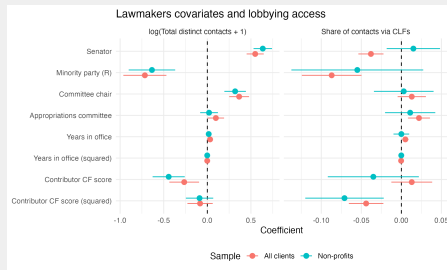
- **Who is lobbied:** how contact patterns change with majority status, leadership, committee assignments.
- **Role of connections:** revolving-door ties and campaign relationships predict greater access to powerful legislators.
- **Grants and lobbying:** Selection into lobbying and lobbying expenditures correlates with awarded grants from NYS.

2 Model of market for access:

- clients choose **commercial firm** vs **in-house** lobbying; intermediaries allocate effort across legislators; legislators allocate access depending on lobbying technology, then run **counterfactuals**:
 - remove lobbying
 - remove CLFs
 - reallocate relationship capital.

WHO IS LOBBIED?

- ▶ Lawmakers differ sharply in their political value: institutional roles (leadership, committees), ideological position, etc.
- ▶ Contacts concentrate on high-value lawmakers, especially via CLFs.
- ▶ *In the model:*
 - We introduce an effective meeting capacity (scarce slots), reflecting both politicians' resources and taste for lobbying.
 - We model access depending on CLF status and lobbying firms' characteristics.



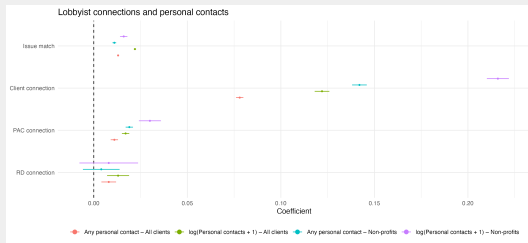
▶ LES binscatters

▶ Regression total contacts

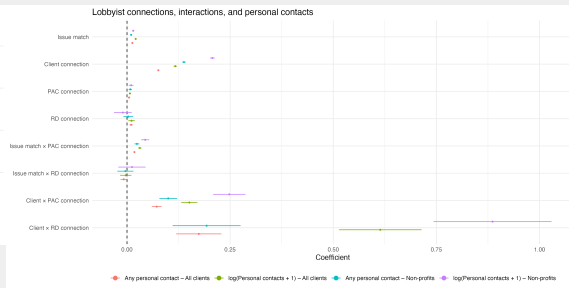
▶ Regression share

CONNECTIONS AS RELATIONSHIP CAPITAL (CONT'D)

- Contacts concentrate on high-value pairs.



Specification controlling for politician, principal lobbyist, client FE.



4M+ observations (full sample), 700K+ (non-profits)

- *In the model:* In the model, access depends on *client-politician* match quality and *lobbyist-politician* intermediary advantages (including connections).

► Counts/LES of politicians

► Table version

► Table version (LES)

► Regression table

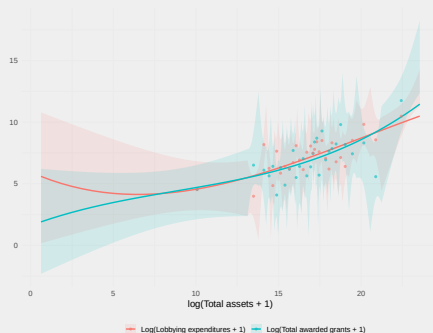
► Regression table interactions

GRANTS AND LOBBYING

- ▶ Restricting to non-profits ever receiving grants from NYS:
 - Large nonprofit organizations are more engaged in lobbying and enjoy larger grants
 - Positive relationship between lobbying expenditures or contacts and awarded grant persists after controlling for organizational size
- ▶ *In the model:* We model selection into lobbying and organizational arrangement based on expected grants; we will use instruments based on shifts of committee assignments.

Table 1: Relationship between grants and lobbying

Grants (USD millions)	Mean	Min	Max	SD	N
Never lobbied	0.56	0.00	554.38	6.23	22280
Lobbied at least one year	2.07	0.00	250.88	9.48	2995
Lobbied in previous year	2.85	0.00	250.88	11.20	1625



MODEL OVERVIEW

► i : client; j : lobbying firm; k : politician

1 Stage 1: Representation

- Clients choose an arrangement $H \in \{IH, CLF, IH+CLF, \text{No Lobbying}\}$ based on expected utility based on arrangement $U_{it} = \underbrace{\mathbb{E}[G_{it}(H)]}_{\text{expected grants in Stage 2}} - \underbrace{F_{it}(H)}_{\text{fee from Nash bargaining}} - \underbrace{\kappa_i(H)}_{\text{entry cost}}$

- Assuming a i.i.d.Type-I extreme value shock, prob's are $P_{it,H} = \Pr(H_{it} = H) = \frac{\exp\{U_{it}(H)\}}{\sum_{H' \in B(i)} \exp\{U_{it}(H')\}}$

2 Stage 2: Allocation and Production

- Politicians solve the assignment problem:

$$\begin{aligned} \max_{\{x_{ijk}\}} \quad & \sum_i \sum_{j \in H_{it}} \sum_k \left(\underbrace{V_{ik}}_{\text{value of } i \text{ to } k} + \underbrace{A_{jk}}_{\text{value of } j \text{ to } k} \right) x_{ijk} \\ \text{s.t.} \quad & \sum_i \sum_{j \in H_{it}} x_{ijk} \leq \underbrace{S_k}_{k\text{'s capacity}} \quad \forall k, \\ & x_{ijk} \in \{0, 1\} \quad \forall (i, j, k). \end{aligned} \tag{1}$$

- Given the access index $A_{it}(H) = \sum_{j \in H} \sum_k x_{ijk}^* V_{ik}$, realized grants are given by $G_{it}(H) = Y'_{it} \beta_0 + (1 - \eta) \log(A_{it} + 1) + \mu_{it}$

ESTIMATION AND RESULTS

Metric	Observed	Simulated
Total contacts	8,169	8,824
Mean contacts per client	20.97	16.98
Median contacts per client	8.00	5.00
Std contacts per client	32.38	41.25
Mean contacts per politician	35.14	35.79
Median contacts per politician	25.62	28.75
Std contacts per politician	32.05	39.79
Share CLF contacts	0.532	0.517

Stage	Parameter	Symbol	Estimate
2 (allocation)	Client colocation	β_V^{coloc}	78.88***
2 (allocation)	Issue match	β_V^{issue}	0.440
2 (allocation)	PAC connection (individual)	δ_{PAC}	12.05***
2 (allocation)	RD connection	δ_{RD}	0.701***
2 (allocation)	Is CLF	α	-4.41***
2 (production)	Access concavity	η	0.929***
1	CLF fixed cost	C_L	901,764***
1	In-house fixed cost	C_I	172,952***

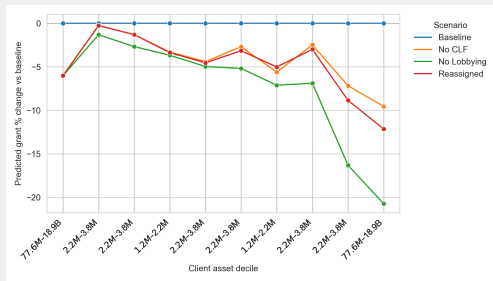
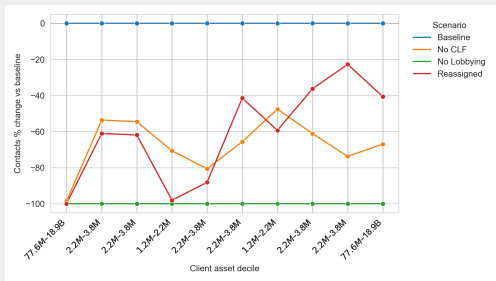
- **Stage 2 (access and production):** contacts are heavily skewed toward well-connected firms and clients.
- **Stage 1 (entry):** Fixed entry costs are large—especially for CLFs (about \$900K vs. \$170K in-house).

COUNTERFACTUALS

- ▶ **Baseline** = equilibrium implied by the estimated Stage 1–2 parameters.
- ▶ Counterfactuals vary the *lobbying technology* available in Stage 2 and recompute the access–production equilibrium:
 - **No lobbying:** shut down the lobbying industry (all lobbying arrangements go to 0, access and contacts collapse).
 - **No CLF:** remove all commercial lobbying firms by deleting CLF edges and re-solving Stage 2.
 - **Reassigned CLF:** remove CLFs but reassign their relationship capital to in-house structures, iterating Stages 1 and 2 to a fixed point.

COUNTERFACTUAL: RESULTS

- ▶ **No lobbying:** grants fall ~ 3–4% overall, with much larger losses for big nonprofits (~ 10–12% vs. 2–3% for the smallest), in line with Cox (2023).
- ▶ **No CLF:** non-lobbying rises and activity shifts to in-house; access and contacts drop by ~ 70–90% (because CLFs connect many clients), but grants fall only a few percentage points.
- ▶ **Reassigned CLF:** reallocating CLF relationship capital to in-house leaves access far below baseline in almost every asset decile, with only modest contact recoveries for some mid/upper deciles.

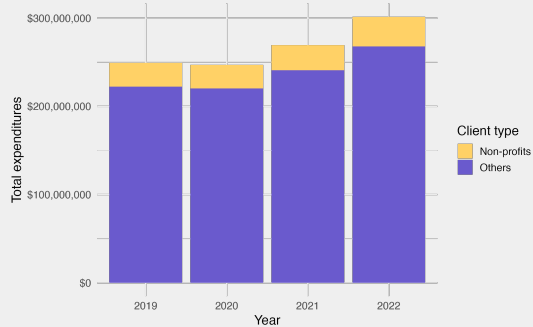


REFERENCES I

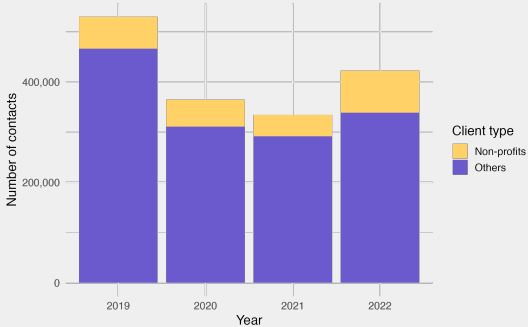
- Bertrand, M., Bombardini, M., & Trebbi, F. (2014). Is it whom you know or what you know? an empirical assessment of the lobbying process. *American Economic Review*, 104(12), 3885–3920. <https://doi.org/10.1257/aer.104.12.3885>
- Blanes i Vidal, J., Draca, M., & Fons-Rosen, C. (2012). Revolving door lobbyists. *American Economic Review*, 102(7), 3731–48. <https://doi.org/10.1257/aer.102.7.3731>
- Cox, C. (2023). Lobbying for government appropriations. *The RAND Journal of Economics*, 54(3), 443–483. <https://doi.org/https://doi.org/10.1111/1756-2171.12447>

APPENDIX

Figure: Total lobbying expenditures and contacts by year.



(a) Total lobbying expenditures by year.



(b) Total lobbying contacts by year.

[◀ Back to data](#)

Table 2: Average annual contacts by branch.

		All activities		Appropriations activities	
		N	Percent	N	Percent
All	Assembly contacted	659074	43.08	56216	43.14
	Senate contacted	698286	45.64	50623	38.85
	Executive branch contacted	74421	4.86	6916	5.31
	State agency contacted	96952	6.34	16192	12.43
	Other government body contacted	1276	0.08	356	0.27
Non-profits	Assembly contacted	132750	8.68	24122	18.51
	Senate contacted	186466	12.19	19629	15.06
	Executive branch contacted	12672	0.83	1985	1.52
	State agency contacted	18283	1.19	2741	2.10
	Other government body contacted	144	0.01	64	0.05

[◀ Back to data](#)

Table 3: Total contacts in the legislative branch by target body.

	All entities		Non-profit entities	
	N	Percent	N	Percent
Entire body contacted	5280	1.67	1072	1.65
Majority body contacted	4241	1.34	736	1.13
Entire committee contacted	10745	3.40	2213	3.40
Lawmaker contacted	291222	92.18	60330	92.80
Staff contacted	7150	2.26	1204	1.85

[◀ Back to data](#)

Table 4: Lawmakers: descriptive statistics.

	Assembly					Senate				
	Mean	Median	SD	NA	N	Mean	Median	SD	NA	N
<i>Career variables</i>										
Minority party (R)	0.28	0.00	0.45	0	302	0.34	0.00	0.48	0	128
Chair of any committee	0.23	0.00	0.42	0	302	0.59	1.00	0.49	0	128
Committee membership	5.25	5.00	1.43	0	302	6.36	7.00	1.67	0	128
Appropriations committee	0.26	0.00	0.44	0	302	0.38	0.00	0.49	0	128
Years in office	9.25	8.00	6.23	0	302	8.73	8.00	5.95	0	128
Freshman	0.17	0.00	0.37	0	302	0.25	0.00	0.43	0	128
Legislative Effectiveness (LES)	0.96	0.67	0.90	1	302	0.46	0.37	0.32	0	128
<i>Ideology and background variables</i>										
Previous government experience	0.40	0.00	0.49	33	302	0.38	0.00	0.49	21	128
CF score (contributor)	-0.06	-0.34	0.67	129	302	-0.22	-0.42	0.60	51	128
CF score (recipient)	-0.17	-0.51	0.72	50	302	-0.31	-0.58	0.65	23	128
<i>Election variables</i>										
Incumbent status	0.80	1.00	0.40	50	302	0.64	1.00	0.48	23	128
Vote share	0.79	0.81	0.18	34	302	0.75	0.72	0.20	15	128

[◀ Back to data](#)

Table 5: Lobbying firms: descriptive statistics.

	External lobbying firms				In-house lobbying firms			
	Mean	Median	SD	N	Mean	Median	SD	N
Avg. # clients	17	5	36	372	1	1	0	1395
Avg. compensation (1000s USD)	1575	405	3363	372	106	56	186	1395
Avg. # individual employed	4.3	2	8	371	4.9	2	9.2	1393
Avg. # PAC conn.s (individual)	42	1	197	372	0.86	0	1.4	1395
Avg. # PAC conn.s (firm)	358	11	1783	372	0.86	0	1.4	1395
Avg. # revolving-door lobbyists	3.7	0	28	372	0.033	0	0.17	1395

[◀ Back to data](#)

Table 6: Client-year summary statistics.

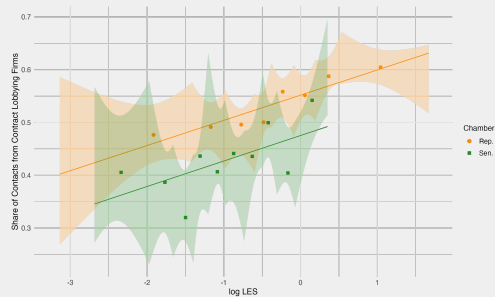
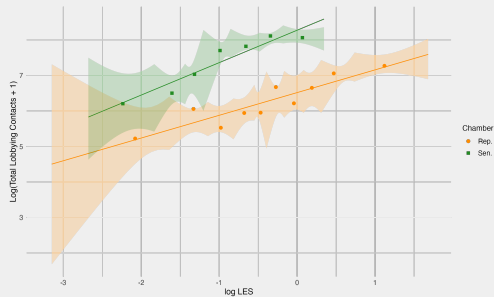
		Mean	Median	SD	N
All clients	Total lobbying expenditures (thousands)	72.21	48.00	106.31	14784
	Total lobbying contacts (across issues and targets)	86.99	2.00	550.89	14784
	Distinct lawmakers contacted	6.95	1.00	16.84	14784
	Has retained lobbyists	0.92	1.00	0.27	14784
	Has both retained and in-house lobbyists	0.17	0.00	0.37	14784
	Number of employed lobbyists	1.54	1.00	1.01	14784
	Number of retained lobbyists	1.28	1.00	0.87	14784
	Number of in-house lobbyists	0.27	0.00	0.49	14784
Non-profits	Total lobbying expenditures (thousands)	71.36	54.00	78.57	1625
	Total lobbying contacts (across issues and targets)	131.19	10.00	807.87	1625
	Distinct lawmakers contacted	10.96	3.00	19.28	1625
	Has retained lobbyists	0.90	1.00	0.31	1625
	Has both retained and in-house lobbyists	0.25	0.00	0.43	1625
	Number of employed lobbyists	1.62	1.00	1.00	1625
	Number of retained lobbyists	1.25	1.00	0.84	1625
	Number of in-house lobbyists	0.38	0.00	0.53	1625

◀ Back to data

	All clients (1)	log(Total distinct contacts + 1) All clients (2)	Non-profits (3)	Non-profits (4)
Log LES	0.398*** (0.042)		0.338*** (0.039)	
Senator		0.549*** (0.050)		0.636*** (0.054)
Minority party (R)		-0.716*** (0.126)		-0.635*** (0.136)
Committee chair		0.365*** (0.058)		0.319*** (0.063)
Appropriations committee		0.098** (0.048)		0.020 (0.052)
Years in office		0.032** (0.014)		0.016 (0.015)
Years in office (squared)		-0.001* (0.001)		-0.001 (0.001)
Contributor CF score		-0.265*** (0.087)		-0.443*** (0.094)
Contributor CF score (squared)		-0.083 (0.074)		-0.089 (0.080)
Vote share		-0.268 (1.624)		1.977 (1.757)
Vote share (squared)		-0.073 (1.044)		-1.322 (1.130)
Session FE	✓	✓	✓	✓
Observations	858	488	858	488
Adjusted R ²	0.104	0.722	0.082	0.730

* p<0.1; ** p<0.05; *** p<0.01

INSTITUTIONAL POSITION AND ACCESS



[◀ Back to access and lawmakers](#)

	Percentage contacted by CLF			
	All clients	All clients	Non-profits	Non-profits
	(1)	(2)	(3)	(4)
Log LES	0.033*** (0.003)		0.022*** (0.006)	
Senator		-0.038*** (0.008)		0.015 (0.017)
Minority party (R)		-0.087*** (0.019)		-0.055 (0.042)
Committee chair		0.013 (0.009)		0.003 (0.019)
Appropriations committee		0.022*** (0.007)		0.011 (0.016)
Years in office		0.005** (0.002)		-0.00001 (0.005)
Years in office (squared)		-0.0003*** (0.0001)		-0.0001 (0.0002)
Contributor CF score		0.013 (0.013)		-0.035 (0.029)
Contributor CF score (squared)		-0.044*** (0.011)		-0.071*** (0.025)
Vote share		0.024 (0.250)		0.332 (0.536)
Vote share (squared)		-0.029 (0.160)		-0.159 (0.344)
Session FE	✓	✓	✓	✓
Observations	832	488	827	486
Adjusted R ²	0.222	0.359	0.062	0.164

*p<0.1; **p<0.05; ***p<0.01

Table 7: Count of targeted politicians by lobbying firm type.

		All				Non-profits			
		Mean	Median	SD	N	Mean	Median	SD	N
CLF only	Count of CLF targets	7.16	3.00	12.11	5788	7.26	4.00	10.75	940
	Count of in-house targets				0				0
	Count of in-house only targets				0				0
In-house only	Count of CLF targets				0				0
	Count of in-house targets	21.41	11.00	29.12	719	20.34	11.00	24.92	188
	Count of in-house only targets	16.09	5.00	27.88	719				188
CLF and in-house	Count of CLF targets	7.66	2.00	15.81	4100	5.29	1.00	10.52	883
	Count of in-house targets	8.16		17.83	4100	12.12		22.64	883
	Count of in-house only targets	5.55		14.55	4100				883

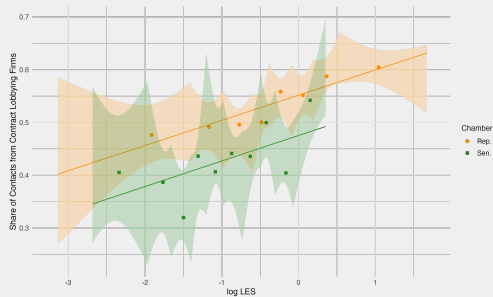
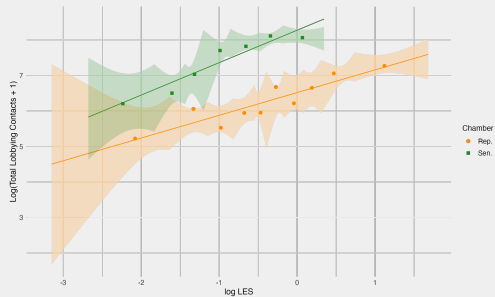
[◀ Back to contact patterns](#)

Table 8: Average LES of targeted politician by lobbying firm type.

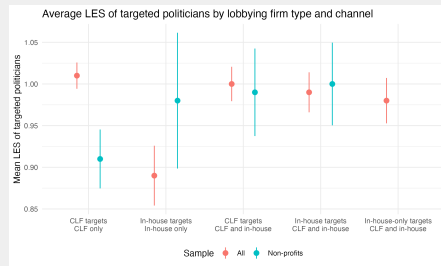
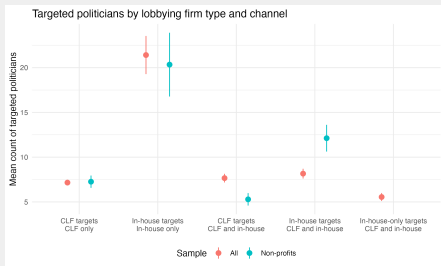
		All				Non-profits			
		Mean	Median	SD	N	Mean	Median	SD	N
CLF only	Avg. LES of CLF target	1.01	0.90	0.61	5758	0.91	0.82	0.55	931
	Avg. LES of in-house target				0				0
	Avg. LES of in-house only target				0				0
In-house only	Avg. LES of CLF target				0				0
	Avg. LES of in-house target	0.89	0.82	0.49	716	0.98	0.89	0.57	188
	Avg. LES of in-house only target	0.86	0.79	0.46	528				0
CLF and in-house	Avg. LES of CLF target	1.00	0.92	0.51	2346	0.99	0.91	0.56	437
	Avg. LES of in-house target	0.99	0.90	0.51	1735	1.00	0.89	0.53	439
	Avg. LES of in-house only target	0.98	0.91	0.50	1296				0

[◀ Back to contact patterns](#)

INSTITUTIONAL POSITION AND ACCESS



TARGETED POLITICIANS BY LOBBYING ARRANGEMENT.



[◀ Back to contact patterns](#)

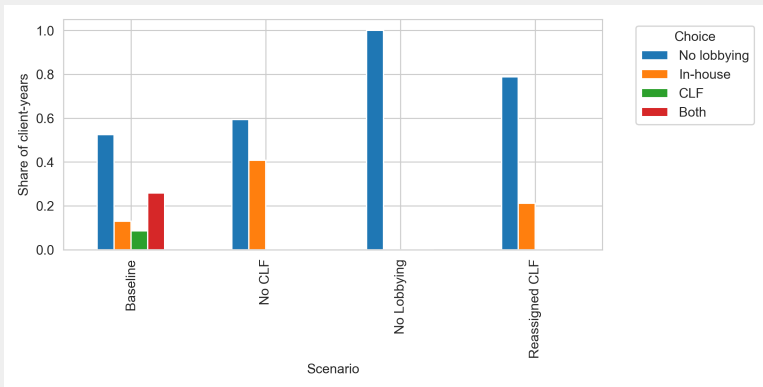
	All clients			
	Log(personal contacts +1)			
	(1)	(2)	(3)	(4)
Issue match	0.038*** (0.0003)	0.037*** (0.0003)	0.024*** (0.0003)	0.022*** (0.0003)
Client connection	0.138*** (0.002)	0.124*** (0.002)	0.135*** (0.002)	0.122*** (0.002)
PAC connection	0.019*** (0.001)	0.018*** (0.001)	0.025*** (0.001)	0.017*** (0.001)
RD connection	0.005 (0.004)	0.002 (0.004)	0.016*** (0.003)	0.013*** (0.003)
Retained lobbyist	-0.047*** (0.0003)	-0.046*** (0.0003)	-0.003 (0.003)	
Lawmaker FE		✓		✓
Client FE			✓	✓
Lobbying firm FE			✓	✓
Session FE		✓	✓	✓
Observations	4,373,482	4,373,482	4,355,109	4,355,109
Adjusted R ²	0.011	0.030	0.114	0.130

* p<0.1; ** p<0.05; *** p<0.01

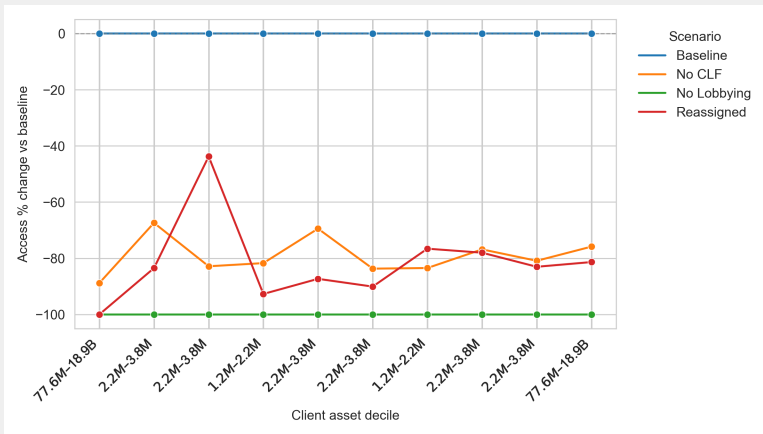
	All clients			
	Log(personal contacts +1)			
	(1)	(2)	(3)	(4)
Issue match	0.038*** (0.0003)	0.037*** (0.0003)	0.023*** (0.0003)	0.021*** (0.0003)
Client connection	0.132*** (0.002)	0.119*** (0.002)	0.131*** (0.002)	0.117*** (0.002)
PAC connection (lobbyist)	0.008*** (0.001)	0.008*** (0.001)	0.014*** (0.001)	0.007*** (0.001)
RD connection (lobbyist)	0.007 (0.005)	0.003 (0.005)	0.016*** (0.004)	0.011** (0.004)
Issue match × PAC	0.035*** (0.003)	0.030*** (0.003)	0.037*** (0.002)	0.031*** (0.002)
Issue match × RD	-0.018** (0.008)	-0.013 (0.008)	-0.009 (0.007)	-0.003 (0.007)
Client × PAC	0.174*** (0.011)	0.171*** (0.011)	0.153*** (0.010)	0.151*** (0.010)
Client × RD	0.740*** (0.055)	0.755*** (0.055)	0.601*** (0.051)	0.614*** (0.051)
Retained lobbyist	-0.047*** (0.0003)	-0.046*** (0.0003)	-0.003 (0.003)	
Lawmaker FE		✓		✓
Client FE			✓	✓
Lobbying firm FE			✓	✓
Session FE		✓	✓	✓
Observations	4,373,482	4,373,482	4,355,109	4,355,109
Adjusted R ²	0.011	0.030	0.114	0.131

*p<0.1; **p<0.05; ***p<0.01

COUNTERFACTUAL: CHOICE SHARES BY SCENARIO

[◀ Back to counterfactuals](#)

COUNTERFACTUAL: PERCENT CHANGE IN ACCESS

[◀ Back to counterfactuals](#)